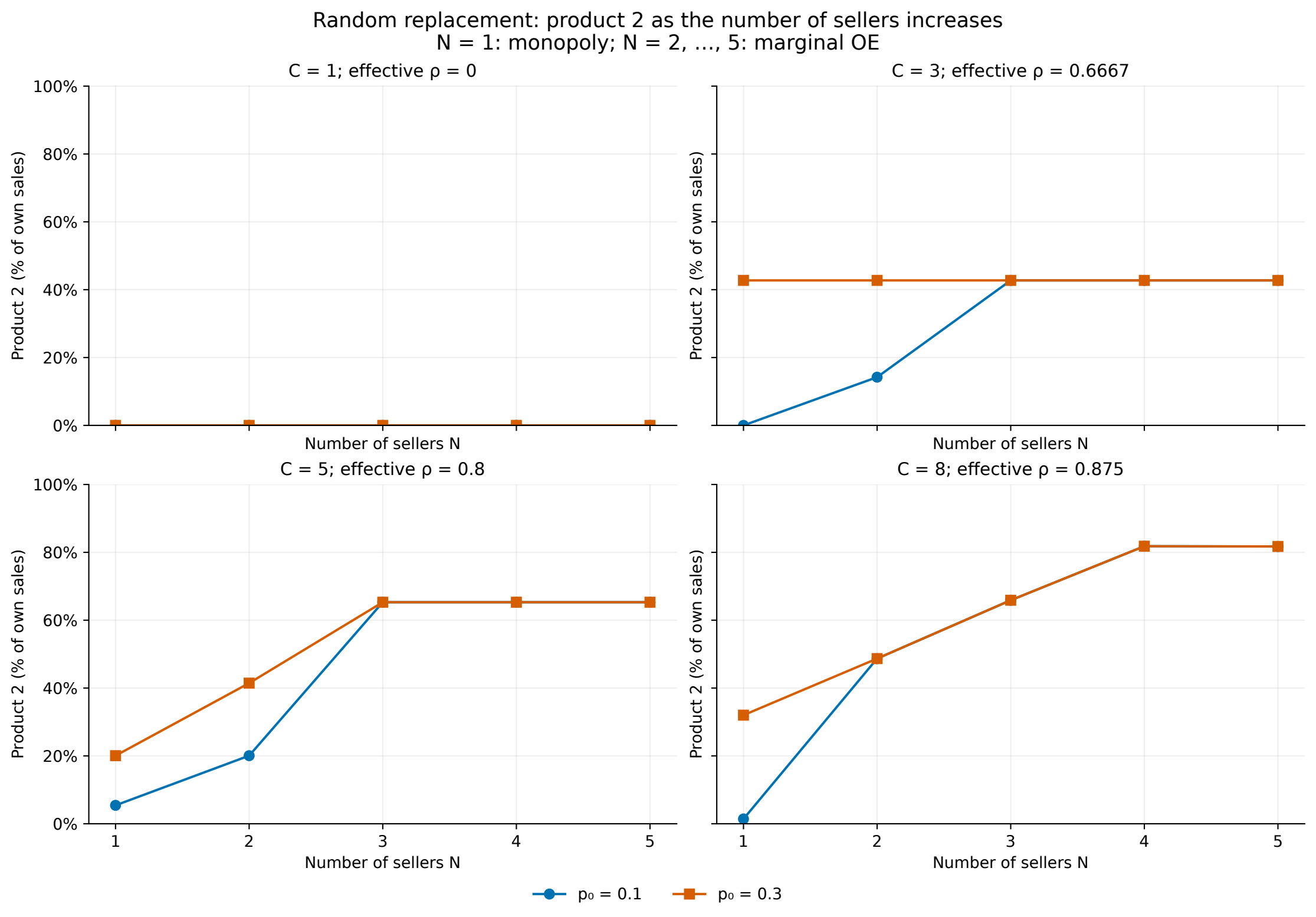
Random replacement: product 2 as the number of sellers increases
N = 1: monopoly; N = 2, ..., 5: marginal OE
C = 1; effective ρ = 0
C = 3; effective ρ = 0.6667
C = 5; effective ρ = 0.8
C = 8; effective ρ = 0.875
Product 2 (% of own sales)
Number of sellers N
100%
80%
60%
40%
20%
0%
1
2
3
4
5
p₀ = 0.1
p₀ = 0.3